MFANO BANK

A fictional bank for a portfolio project

INTERNAL CIRCULAR

Individual account opening and KYC

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Owner	Operations
Approved by	Head of Branch Operations
Classification	Internal

This document is fictional. It does not describe the procedures of any real bank.

Document control

What changed in version 4: Account opening files must be submitted to back office QA within one working day of opening.

Version history

Version	Effective date	Change
1	2021-05-01	First issue
2	2023-03-01	Screening against politically exposed persons added
3	2024-09-01	Photograph capture required
4	2026-01-15	File submitted to QA within one working day

Approval and distribution

Approved by the Head of Branch Operations. Owned by Operations. Distributed to all branches through the intranet. Printed copies are not controlled; always check the intranet for the current version.

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1. Purpose

This circular sets out how branch staff open accounts for individual customers and complete know-your-customer (KYC) checks.

2. Scope

This circular covers savings and current accounts for individuals aged 18 and over, and accounts for minors operated by a parent or guardian.

3. Definitions

- **KYC:** know your customer; the checks that establish who the customer is and the risk they present.
- **Politically exposed person (PEP):** a person who holds or has held a prominent public position, and their close family and associates.
- **Customer risk rating:** the low, medium or high rating recorded in core banking for every customer.
- **Enhanced due diligence (EDD):** additional checks and approvals required for high-risk customers.

4. Roles and responsibilities

- **Customer service officer:** identifies the customer, screens, risk-rates and opens the account.
- **Supervisor:** authorises the account after checking the file.
- **Compliance:** carries out EDD and approves high-risk customers.
- **Back office quality assurance (QA):** reviews every new account file.

5. Procedure

5.1 Identify the customer [MANDATORY CONTROL]

Ask for an original identity document: national ID card, passport or driving licence. Record the document number and check that the photograph matches the customer. Expired documents are not accepted.

5.2 Proof of address

Take proof of residential address issued within the last three months: a utility bill, a tenancy agreement or a letter from the local government office.

5.3 Photograph and specimen signature

Capture the customer's photograph and specimen signature in core banking.

5.4 Screen the customer [MANDATORY CONTROL]

Screen the customer against the sanctions, watch and PEP lists. Stop and refer to Compliance if there is a possible match.

5.5 Risk-rate the customer [MANDATORY CONTROL]

Complete the customer risk rating in core banking, based on occupation, expected account activity, source of funds and screening results.

5.6 Enhanced due diligence for high-risk customers [MANDATORY CONTROL]

If the rating is high, or the customer is a PEP, send the file to Compliance. Do not open the account until Compliance approves in writing.

5.7 Open the account

Open the account in core banking. The supervisor authorises it after checking the file.

5.8 Submit the file to quality assurance

Submit the complete file to back office QA within one working day of opening.

6. Exceptions and escalation

- **Customers without proof of address:** a basic account with transaction limits may be opened with a letter from the local government office.
- **Minors:** the parent or guardian provides their own identity document and the child's birth certificate.

7. Records and retention

Account opening files: for the life of the account plus 10 years. Records are kept in the branch file room or the document management system and destroyed only under the bank's records retention schedule. Records that are part of an open complaint, dispute, audit or investigation are kept until it is closed.

8. Monitoring and quality assurance

Back office quality assurance reviews a sample of files every month against this circular and reports exceptions to the branch manager and to Operations. Repeated exceptions at a branch are reported to the Head of Branch Operations. Internal audit may review compliance with this circular at any time.

9. Related documents

- CIR-ACC-12 Business account opening
- CIR-ACC-15 Customer information update
- CIR-CARD-05 New card issuance

Appendix A: Frequently asked questions

Q1. Can I open an account with an expired passport?

No. Only valid original identity documents are accepted.

Q2. What if the customer is a politically exposed person?

Follow section 5.6: send the file to Compliance and wait for written approval.